Economics — Assignment #1

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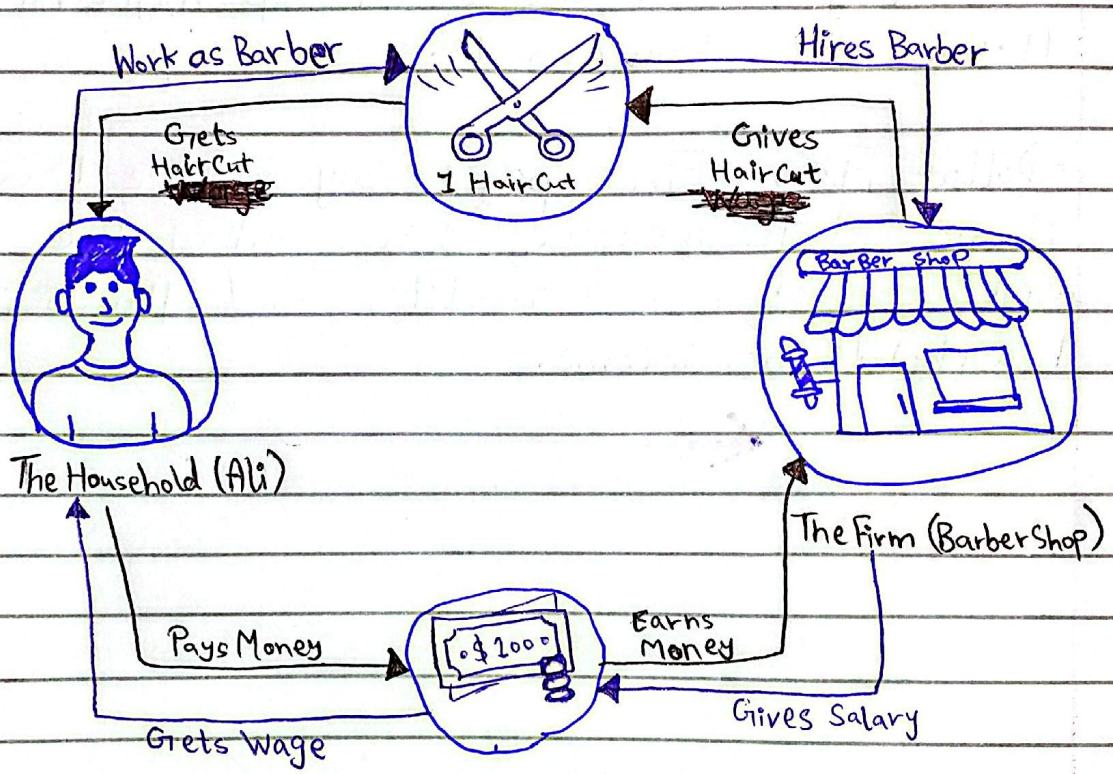
Q: Circular Flow Diagram:



1) Market for Goods & Services :-

- Goods & Services Flow: Firms (Barbershop) sells goods and services (haircut) to Households (Ali), who buy and consume them.
- Dollar Flow: Households (Ali) spend money ($100), which flows through this market and becomes revenue for the Firms (the Barbershop).

2) Market for Factors of Production :-

- Input Flow: Households actully own the "factors of production" (such as labour, capital). They sell or rent or works for these Firms. For example, Ali might provide his labor to a company for his day job, or the barbershop might hire barbers (labor) from households.

- Dollar Flow: Firms pay to buy or hire these factors of production. The money flows out of the firms as wages, rent, and profit, and flows into the households as income.

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